

Conclusion

As retail investors, we will try to create a diversified portfolio, so that we are less dependent on stock-specific factors. **How?**

The impact of each stock will be very limited. Even if the stock experiences large fluctuations, the net movement in our portfolio will be less, which means less volatility. The impact of stock-specific and industry-specific factors will be limited. As a result, our portfolio will never face survival risk, still generating attractive returns.